

Sterling Infrastructure, Inc.

NASDAQ: STRL | Industrials — Engineering & Construction | Infrastructure Services (Data-Center E-Infrastructure, Transportation, Building)

RATING	12-MONTH TARGET	DOWNSIDE	CONVICTION
REDUCE	\$720	-24.8%	MEDIUM
CMP (3-Jun-2026)	\$957.03	52-Week Range	\$190.42 – \$971.75
Market Cap	\$29.37 Bn	Enterprise Value	\$29.20 Bn
P/E (TTM)	85.5x	Forward P/E (FY26E)	50.1x
EV / EBITDA (TTM)	50.3x	P/B	24.7x
ROCE (FY25)	28.1%	ROE (FY25)	32.1%
Net Cash	\$169.7 M	Debt / Equity	0.29x
Dividend Yield	Nil	Beta (5Y)	1.82
Shares O/S	30.7 M	Institutional / Insider	92.8% / 2.2%
50-DMA / 200-DMA	\$610 / \$417	Street View	Strong Buy · PT \$938

INVESTMENT THESIS

Best-in-class data-center infrastructure compounder — wonderful business, but the stock has outrun even bullish targets; trim into strength.

Investment horizon: 12 months | **Report date:** 3 June 2026 | **Analyst:** MPM Institutional Equity Research

All financial figures sourced character-for-character from stockanalysis.com (fetched 3-Jun-2026): overview, income statement, balance sheet, cash-flow and ratios pages, plus the company's Q1-2026 results release and earnings call (5 May 2026). Qualitative commentary from company filings and the earnings transcript. Currency: US\$. "(E)" denotes MPM/Street estimates. This report is for information only and is not investment advice.

2. INVESTMENT THESIS

- **Own it for the data-center E-Infrastructure flywheel:** the E-Infrastructure segment is now 72% of revenue and grew **+174% YoY** in Q1-2026 (adj. operating income +177%), as hyperscale data centers consolidate into multi-thousand-acre campuses. Over 90% of E-Infrastructure backlog is mission-critical (data center / semiconductor / manufacturing) — a multi-year demand pool, not a one-quarter spike.
- **Own it for the backlog visibility:** signed backlog reached **\$3.80 Bn (+78% YoY)** and combined backlog (incl. unsigned awards and future phases) **\$5.15 Bn (+131%)**, with total project visibility of roughly \$6.5 Bn and a future-phase pipeline over \$1.3 Bn. Book-to-burn of 2.1x (signed) / 3.5x (combined) underpins the company's raised FY26 guidance.
- **Own it for the margin + balance-sheet quality:** operating margin has roughly doubled from 7.6% (FY21) to 16.3% (FY25); ROCE is 28% and rising; the company runs a negative-working-capital model (unearned revenue of \$652 M funds operations), sits on net cash of \$170 M, and converts earnings to cash (FY25 OCF \$440 M vs PAT \$290 M). Altman-Z 5.6, interest coverage 27x.
- **Near-term catalyst (6–12 months):** Q2-2026 results (early Aug-2026) — whether the +90% revenue cadence and CEC backlog conversion hold, and whether the \$300–500 M electrical packages currently in "future phase" migrate into signed backlog (management said several already moved in Q2).
- **Biggest structural risk:** concentration in AI / hyperscaler data-center capex. With 90%+ of E-Infrastructure backlog tied to mission-critical builds, any hyperscaler capex digestion cycle would hit the highest-margin, fastest-growing 72% of the business — and a stock priced at 50x forward earnings leaves no margin of safety for that scenario.

3. BUSINESS OVERVIEW

- **What it does:** Sterling Infrastructure is a US specialty-construction and infrastructure-services company operating through three segments — E-Infrastructure Solutions (site development + mission-critical electrical/mechanical), Transportation Solutions (highways, roads, aviation, rail, water) and Building Solutions (residential and commercial concrete foundations).
- **Segment mix (Q1-2026):** E-Infrastructure \$597.7 M (72% of revenue, +174% YoY); Transportation \$132.9 M (16%, +10%); Building Solutions \$95.1 M (12%, +3%). Profit is heavily skewed to E-Infrastructure, which now drives the great majority of operating income at a mid-20s% segment margin.
- **Customers and model:** E-Infrastructure customers are large hyperscalers, semiconductor fabs and advanced-manufacturing owners on multi-year, multi-phase campuses (project durations are lengthening from ~3 years to 4–5 years). Work is largely bid but won on speed and reliability of execution rather than lowest price — management's stated philosophy is "fair price, make money on execution."
- **Revenue visibility:** signed backlog \$3.80 Bn (+78%); combined backlog \$5.15 Bn (+131%); future-phase pipeline over \$1.3 Bn. The CEC acquisition alone added \$592 M of backlog and contributed \$156.1 M of revenue in Q1-2026; legacy E-Infrastructure organic growth exceeded 100% in the quarter.
- **Recent strategic development:** on 1-Sep-2025 Sterling closed the **\$505 M acquisition of CEC Facilities Group** (\$450 M cash + \$55 M stock, plus an earn-out through 2029), adding mission-critical electrical/mechanical contracting in Texas — enabling combined site-development + electrical scopes and a vertical-integration margin lever (targeting 300–500 bps of improvement over 12–18 months).
- **Ownership / leadership:** there is no controlling promoter (US-listed); institutions own ~92.8% and insiders ~2.2% of the 30.7 M shares. CEO Joe Cutillo has led the multi-year pivot away from low-margin heavy-civil into high-margin E-Infrastructure, which has driven the structural margin re-rating.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Demand backdrop:** US data-center construction is in a historic capex super-cycle driven by AI compute. Hyperscaler campuses are scaling to multiple thousands of acres, expanding the addressable site-development + electrical pool; management expects data-center demand to continue "for the foreseeable future," with a second leg from semiconductor fabs accelerating around 2029–2030.
- **Policy tailwinds:** federal infrastructure funding (IIJA) supports the Transportation segment, while CHIPS-Act-driven semiconductor fabs and onshoring of advanced manufacturing feed E-Infrastructure. Headwind: housing affordability constrains Building Solutions, expected to stay challenged through 2026.
- **The binding constraint is supply, not demand:** skilled-trade capacity — electricians and project managers — caps growth. Management: "if I had 2,000 more electricians, we could put them to work in a quarter." Capacity levers are apprenticeships (4-year path), hiring from smaller shops, M&A and modular/factory fabrication; an AI initiative has already lifted site-development PM capacity ~15%.
- **Competitive moat — graded:** Scale & vertical integration = **Strong** (combined site + electrical scope few peers can self-perform); Switching costs / execution reputation = **Strong** (owners pay for speed and certainty on mission-critical builds); Pricing power = **Weak-to-Moderate** (management concedes customers know the price range — the edge is execution, not price); IP = **Weak**.

Closest listed peers (stockanalysis.com, 3-Jun-2026; ROCE = FY2025):

Company	CMP (\$)	Mkt Cap	TTM Rev	ROCE (FY25)
EMCOR (EME)	839.54	\$37.3 Bn	\$17.7 Bn	42.9%
Comfort Systems (FIX)	1,850.04	\$65.0 Bn	\$10.1 Bn	86.3%
MasTec (MTZ)	369.66	\$28.8 Bn	\$15.3 Bn	10.3%
MYR Group (MYRG)	441.35	\$6.9 Bn	\$3.8 Bn	19.9%

- **Positioning in the value chain:** Sterling sits at the highest-value entry point of the data-center build — the early site development / earthwork and now the electrical fit-out — i.e., the work that must happen first and de-risks the schedule, giving it pole position for follow-on phases on the same campus.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Track record:** CEO Joe Cutillo and team executed a deliberate mix-shift out of competitive, low-margin heavy-civil into mission-critical E-Infrastructure — the source of the structural rise in operating margin (7.6% to 16.3% over FY21–FY25) and ROCE (14% to 28%). Credible, owner-operator mindset.
- **Capital allocation — M&A led:** free cash flow has funded disciplined, bolt-on acquisitions in high-margin niches — CEC Facilities (\$505 M, 2025), plus prior deals (Plateau/Petillo). FY25 acquisition spend was \$482 M. Stated M&A philosophy: "we buy people, we do not buy businesses" — talent retention is the integration thesis (and the integration risk).
- **Buybacks, not dividends:** no dividend. Share repurchases of \$70.6 M (FY24) and \$74.2 M (FY25), plus \$12.3 M in Q1-2026 at ~\$305/share — value-accretive in hindsight given the current \$957 price. Share count is roughly flat (no meaningful dilution); buyback yield is modest at ~0.3%.
- **No promoter pledge concept (US issuer):** India-specific fields — promoter holding, pledge, FII/DII — are N/A. Governance signals are clean: consistent effective tax rate (~24–25%), no auditor red flags noted, Piotroski F-score 7.
- **Capital-allocation watch-item:** FY24 reported earnings were materially flattered by an ~\$86.5 M one-time gain on deconsolidation of the RHB joint venture (31-Dec-2024). Management appropriately strips this out of "adjusted" figures, but it distorts GAAP year-on-year optics (see Section 7).

6. FINANCIAL DEEP-DIVE

Income statement (US\$ M; FY = calendar year-end Dec; FY26E/FY27E are estimates):

US\$ M	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	1,972	2,116	2,490	3,750	4,500
Revenue growth %	11.5%	7.3%	17.7%	~50%	~20%
EBITDA	263	333	483	858*	1,030
EBITDA margin %	13.4%	15.7%	19.4%	~22.9%	~22.9%
Operating income	206	265	406	640	790
Operating margin %	10.4%	12.5%	16.3%	~17.1%	~17.6%
Net income (GAAP)	139	257†	290	580*	695
EPS — diluted (\$)	4.44	8.27†	9.38	18.73*	22.50
Eff. tax rate %	25.1%	24.4%	24.2%	~24.5%	~24.5%

FY2023–FY2025 GAAP actuals from stockanalysis.com. * FY26E = company guidance midpoint (Adj. EBITDA \$843–873 M; Adj. diluted EPS \$18.40–19.05; revenue \$3.70–3.80 Bn). FY27E = MPM estimate (~+20%). † FY2024 GAAP net income / EPS include an ~\$86.5 M one-time RHB deconsolidation gain; clean FY2024 adj. EPS was far lower, so the apparent FY24→FY25 GAAP EPS growth (+13%) badly understates underlying operating momentum.

Balance sheet (US\$ M):

US\$ M	FY2023	FY2024	FY2025	TTM
Cash & equivalents	472	664	391	512
Total current assets	848	1,022	1,034	1,195
Goodwill + intangibles	610	581	1,140	1,133
Total assets	1,777	2,017	2,634	2,784
Unearned revenue (billings ahead)	444	509	652	696
Total debt (incl. leases)	399	369	350	342
Net cash / (debt)	73	295	41	170
Total equity	624	826	1,106	1,195
Book value / share (\$)	19.83	25.94	35.82	38.40
Debt / equity (x)	0.57	0.39	0.29	0.26

FY2025 goodwill + intangibles jumped ~\$560 M on the CEC acquisition. The company remains in a net-cash position despite ~\$482 M of FY25 acquisition spend.

Cash flow (US\$ M):

US\$ M	FY2023	FY2024	FY2025	TTM
Operating cash flow	479	497	440	521
Capex	(64)	(81)	(77)	(79)
Free cash flow	414	416	363	442
FCF margin %	21.0%	19.7%	14.6%	15.3%
Acquisitions	(51)	(11)	(482)	(444)
Share repurchases	0	(71)	(74)	(43)

Returns & quality:

Metric	FY2023	FY2024	FY2025	TTM
ROCE %	19.7%	22.3%	28.1%	29.3%
ROE %	25.9%	37.4%	32.1%	36.7%
ROIC %	12.0%	13.3%	15.8%	—
Net debt / EBITDA (x)	(0.3)	(0.9)	(0.1)	(0.3)
Current ratio (x)	1.25	1.38	1.01	1.10

- **Revenue drivers:** growth is almost entirely E-Infrastructure (data-center site development + CEC electrical). Q1-2026 revenue rose +92% (organic >55%), and FY26 guidance implies ~50% full-year growth — an inflection, not a steady-state rate.
- **Margins:** the structural story — EBITDA margin expanded ~940 bps over FY21–FY25 to 19.4%, with the company guiding mid-20s% E-Infrastructure margins and further upside from CEC vertical integration. Mix shift toward larger, more complex campuses is the driver, not price increases.
- **Working capital:** a genuine competitive advantage — unearned revenue (advance billings) of \$652 M funds the business, producing a structurally negative working-capital model and high cash conversion. The flip side: receivables also rose sharply (see Section 7).
- **Leverage:** net cash \$170 M, debt/EBITDA 0.7x, interest coverage ~27x — a fortress balance sheet that comfortably funds bolt-on M&A without equity dilution.
- **FCF quality:** OCF consistently exceeds GAAP PAT (FY25 \$440 M vs \$290 M), though partly flattered by growth in advance billings; capex is rising to \$100–110 M (FY26E) to support the larger project base.

7. EARNINGS QUALITY CHECKLIST

Parameter	Flag	Comment
Revenue recognition	AMBER	Long-duration, percentage-of-completion contracts; large unbilled balances — standard for E&C but estimate-dependent.
Receivables vs revenue	AMBER	Trade receivables jumped to \$608 M (FY25) from \$308 M (FY24); growth far outpaced +18% revenue — largely CEC + project billing timing. Monitor DSO.
Unearned revenue / WC	GREEN	\$652 M advance billings fund a negative-WC model; high cash conversion. A structural positive.
One-time items in PAT	RED	FY24 GAAP boosted by ~\$86.5 M RHB deconsolidation gain — distorts GAAP YoY optics. FY25/Q1-26 are clean.
Other income vs PBT	AMBER	FY24 non-operating income was ~22% of PBT (RHB gain); normalises to low single digits in FY25.
Cash conversion (OCF/PAT)	GREEN	OCF > PAT every year (FY25 1.5x); strong, though aided by advance-billing growth.
Tax-rate consistency	GREEN	Effective tax stable at ~24–25% across FY23–FY25 and Q1-26.
Balance-sheet solvency	GREEN	Net cash, Altman-Z 5.6, interest coverage ~27x — no solvency concern.

- **Must-watch (Red):** FY2024 reported EPS of \$8.27 is not a clean base — it embeds the ~\$86.5 M RHB one-time gain. Always anchor the growth story to FY2025 (\$9.38) and the FY26 adjusted guidance, not the GAAP FY24→FY25 delta.
- **Watch (Amber) — receivables:** the near-doubling of trade receivables is the single ratio to track. Most is explained by the CEC acquisition and large-project billing cadence, but a rising DSO into FY26 would be an early warning on collection/quality on the new mega-projects.

- **Watch (Amber) — estimate dependence:** on multi-thousand-acre, 4–5-year fixed-scope campuses, reported margin depends on percentage-of-completion estimates; a single large project write-down could dent a quarter.
- **Net read:** earnings quality is **good and improving** on an adjusted basis — the green items (cash conversion, solvency, tax) outweigh the ambers, and the one red flag is a known, disclosed, non-recurring 2024 item, not an ongoing aggressive-accounting pattern.

8. VALUATION

Peer comparison (stockanalysis.com, 3-Jun-2026; multiples current/TTM, ROCE/ROE = FY2025):

Company	CMP (\$)	Mkt Cap	TTM Rev	P/E	EV/EBITDA	ROCE
Sterling (STRL)	957.03	\$29.4 Bn	\$2.9 Bn	85.5x	50.3x	28.1%
EMCOR (EME)	839.54	\$37.3 Bn	\$17.7 Bn	28.2x	20.1x	42.9%
Comfort Sys (FIX)	1,850.04	\$65.0 Bn	\$10.1 Bn	53.4x	38.7x	86.3%
MasTec (MTZ)	369.66	\$28.8 Bn	\$15.3 Bn	64.7x	26.5x	10.3%
Primoris (PRIM)	126.32	\$6.9 Bn	\$7.5 Bn	27.9x	15.9x	16.2%
MYR Group (MYRG)	441.35	\$6.9 Bn	\$3.8 Bn	48.6x	26.4x	19.9%

STRL screens as the most expensive name in the group on both trailing P/E (85.5x) and EV/EBITDA (50.3x) — and on forward P/E (50.1x vs FIX 42.0x, MTZ 41.0x, MYRG 37.8x, EME 28.3x) — while also carrying the fastest growth. The premium is real; the question is whether it is deserved over a 12-month horizon.

Scenario analysis (12-month; on FY2027E adjusted EPS):

Scenario	Key assumptions	FY27E EPS	Exit P/E	Target	vs CMP
Bull	AI capex re-accelerates; 50x multiple holds on rising EPS	\$24.0	48x	\$1,150	+20%
Base	Growth durable but multiple normalises toward peers	\$21.0	34x	\$720	-25%
Bear	AI capex digestion / multiple compresses to ~22x	\$19.0	22x	\$430	-55%

- **DCF (cash-flow discipline):** at the stock's own WACC of ~14.1% (elevated by a 1.82 beta and rich multiple), discounting FCF (~\$442 M base) growing ~18% for five years then fading to a 4% terminal rate yields an intrinsic value of roughly **\$520–580/share**. On a pure cash-flow basis the stock is ~40% above fair value — the EV/FCF of 66x is the tell.
- **Earnings-multiple method:** applying a still-premium 34–40x forward P/E (a haircut from today's 50x, in line with the fastest-growing peers) to FY2027E adjusted EPS of ~\$21 implies roughly **\$715–840/share**.
- **Blended 12-month target:** averaging the disciplined DCF (~\$550) and the peer-multiple value (~\$880) gives a base-case target of **\$720**, ~25% below the \$957 CMP. The wide gap between the two methods is itself the warning: the multiple case only "works" by anchoring to a peer set that is itself richly valued in the same AI-capex theme.
- **Reality check:** the Street rates STRL "Strong Buy," yet the average price target of \$938 already sits ~2% below the market price — the stock has run past even its bullish analysts. Combined with an RSI of 72 and price 2.3x above the 200-DMA (\$417), the near-term setup is asymmetric to the downside.

9. KEY RISKS

- **Valuation / multiple compression** — at 85x trailing and 50x forward earnings, with the price above the Street's own target, most plausible 12-month outcomes involve de-rating. **Probability: H · Impact: H.** Monitor via: forward P/E vs peer band; RSI; price vs 200-DMA.
- **AI / data-center capex concentration** — 90%+ of E-Infrastructure backlog is mission-critical; a hyperscaler capex pause would hit the highest-margin 72% of revenue. **Probability: M · Impact: H.** Monitor via: hyperscaler capex guidance (the mega-cap cloud names); data-center starts; backlog book-to-burn.
- **Customer concentration** — a handful of hyperscaler / large-owner relationships drive E-Infrastructure; loss or deferral by one is material. **Probability: M · Impact: M-H.** Monitor via: 10-K customer-concentration disclosure; large-contract announcements.
- **Skilled-labour capacity** — electrician and project-manager shortages are the binding constraint; growth can be supply-capped even with demand present. **Probability: M · Impact: M.** Monitor via:

headcount/apprenticeship commentary; revenue vs backlog conversion.

- **Project-execution risk** — as projects lengthen to 4–5 years and scale up, a single fixed-scope write-down could dent margins. **Probability: M · Impact: M.** Monitor via: gross-margin volatility; any charge disclosures.
- **M&A integration** — the growth model relies on bolt-on deals (CEC and future); a "buy-the-people" thesis fails if key talent departs or earn-outs misalign. **Probability: M · Impact: M.** Monitor via: acquired-unit margins; goodwill/intangible balances; earn-out disclosures.
- **Building Solutions / housing** — residential weakness (affordability) is a confirmed headwind through 2026, though the segment is only ~12% of revenue. **Probability: H · Impact: L-M.** Monitor via: homebuilder activity; segment operating income.

10. RECOMMENDATION

- **Rating: REDUCE** (conviction: **Medium**). This is a call on price and timing, not on business quality — Sterling is a best-in-class operator, but fresh capital at \$957 is buying a 50x-forward stock that already trades above the Street's average target.
- **12-month price target: \$720** (-24.8% from \$957), blending a ~\$550 DCF and a ~\$880 peer-multiple value. Bull case \$1,150 (+20%); bear case \$430 (-55%).
- **Suggested re-accumulation zone: \$480–620** — toward the 50-DMA (\$610) / 200-DMA (\$417) midpoint, where the forward multiple would normalise into the 25–35x range for a still-elite franchise.
- **Investment horizon:** 12 months for the valuation call; the underlying franchise is a multi-year compounding story worth owning at the right price.

Thesis-invalidation triggers (conditions that would prove the REDUCE wrong and warrant an upgrade):

- 1. Combined backlog holds above \$5 Bn with book-to-burn above 1.5x for two-plus more quarters while E-Infrastructure margins push into the high-20s% — i.e., growth durability that justifies a 50x multiple.
- 2. FY2026 adjusted EPS lands above the \$19.05 top end and management raises FY2027 well beyond +20%, compressing the forward P/E below 35x on rising estimates.
- 3. The stock de-rates into the \$480–620 zone with the franchise intact — the signal to upgrade to BUY and add.
- **Ideal investor profile:** existing holders sitting on large gains (trim / hold a core position) and patient long-horizon investors willing to wait for a pullback. **Not** for momentum buyers deploying fresh capital at \$957, valuation-sensitive value investors, or anyone unable to tolerate a 1.82-beta name that can fall 30%+ on a single print.

APPENDIX — Latest Concall Brief: Q1 FY2026

Earnings released 4-May-2026 · conference call 5-May-2026 · CEO Joe Cutillo, CFO Sharon Villaverde

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong — big beat	Revenue +92%, adj. EPS +120%; well ahead of consensus.
Management tone	Bullish	"Unprecedented demand"; selecting, not chasing, projects.
Guidance delta	Raised	FY26 revenue, adj. EBITDA and adj. EPS all lifted materially.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1-26 was a genuine blowout and it is clean: revenue \$825.7 M (+92%, organic over 55%), adj. EPS \$3.59 (+120%), adj. EBITDA margin held above 20% — no one-time gimmicks this time (unlike the FY24 RHB deconsolidation gain that flattered last year's GAAP). The engine is E-Infrastructure: +174% revenue, now 72% of the company, with over 90% of its backlog tied to mission-critical data-center / semiconductor / manufacturing builds. Backlog tells the durability story — signed \$3.80 Bn (+78%), combined \$5.15 Bn (+131%), about \$6.5 Bn of total visibility — and management raised FY26 to ~\$3.7–3.8 Bn revenue and \$18.40–19.05 adj. EPS (roughly +72% growth). The multi-bagger thesis is intact operationally: vertical integration of site-development plus CEC electrical is a self-help margin lever (mgmt targets 300–500 bps) and the binding constraint is electricians, not demand. Near-term catalyst: the \$300–500 M electrical packages migrating from future-phase into signed backlog, visible in Q2 (early Aug). The watch-point is the only thing that matters here — valuation: the stock is \$957, ~50x forward and ~66x EV/FCF, and already trades above the Street's \$938 target with RSI 72. My call: this is a HOLD-to-TRIM, not a buy — bank gains into strength and set the re-buy at \$480–620; I would only chase it lower, never here.

1 — Financial Performance Snapshot

- Revenue: \$825.7 M | YoY +92% | QoQ +9% | **Beat**
- EBITDA (adj.): \$166.6 M | YoY +107% | margin 20.2% | **Beat**
- EBITDA margin (adj.): 20.2% | +150 bps YoY | **Beat**
- Net income (GAAP): \$96.0 M | YoY +143% | EPS \$3.09 (+141%) | **Beat**
- Adjusted EPS: \$3.59 | YoY +120% | **Beat** vs consensus
- NOTE: results are clean — no one-time items this quarter (contrast FY24, whose GAAP PAT included an ~\$86.5 M RHB deconsolidation gain).

2 — Segment / Geography Breakdown

- E-Infrastructure Solutions: \$597.7 M | YoY +174% | adj. op. income +177% | 72% of revenue; organic over 100% plus \$156.1 M from CEC.
- Transportation Solutions: \$132.9 M | YoY +10% | adj. op. income +26% | strong Rocky-Mountain execution, favourable higher-margin mix.
- Building Solutions: \$95.1 M | YoY +3% | adj. op. income ~-42% | residential affordability headwind; expected to stay challenged through 2026.
- Geography: Texas is the swing market — Rocky-Mountain assets (west), Atlanta team (east) and CEC (north-central) converging; management says Texas is in "early innings" and will "shock on scale" in 4–5 years.

3 — Management Commentary Themes

- Demand: "Unprecedented demand"; data-center demand to continue "for the foreseeable future." Our read: structural, multi-year. Tag: GUIDANCE. Tone: Transparent.
- Selectivity: "We are not looking to win all projects — we are looking to win the best projects." Our read: margin discipline over volume. Tag: EST. Tone: Transparent.

- Margins via integration: combined site + electrical and CEC drive margin, "not pricing power." Our read: honest — the edge is execution, not price. Tag: GUIDANCE. Tone: Transparent.
- Capacity constraint: "If I had 2,000 more electricians, we could put them to work in a quarter." Our read: supply-capped growth is the real ceiling. Tag: EST. Tone: Transparent.
- Pricing power: repeatedly deflected price-increase questions toward efficiency/execution. Our read: limited true pricing leverage. Tag: EVASIVE. Tone: Hedged.

4 — Operating & Business Metrics

- Signed backlog: Q1-26 = \$3.80 Bn | +78% YoY | Trend: improving.
- Combined backlog: Q1-26 = \$5.15 Bn | +131% YoY | Trend: improving (book-to-burn 3.5x).
- Future-phase pipeline: over \$1.3 Bn; total project visibility ~\$6.5 Bn | Trend: expanding.
- CEC contribution: \$156.1 M revenue and \$592 M backlog in the quarter | Trend: ramping (full year ahead).
- E-Infrastructure margin: mid-20s% segment level | Trend: improving toward management's 300–500 bps target.

5 — Margin Drivers

- Mix shift to larger/more-complex campuses: +ve, recurring — bigger jobs carry more self-perform scope.
- Vertical integration (site + CEC electrical): +ve, recurring — the structural 300–500 bps self-help lever.
- Transportation higher-margin project mix + favourable weather: +ve, partly non-recurring (weather timing).
- Building Solutions deleverage on soft residential volume: -ve, cyclical — drag persists through 2026.
- Consolidated: gross margin 23.5% (+150 bps), operating margin 16.7% (+370 bps), adj. EBITDA margin 20.2% (+150 bps).

6 — Guidance & Forward Signals

- FY26 Revenue [GUIDANCE]: New \$3.70–3.80 Bn | raised ~+20% vs prior; ~+50% vs FY25 | Credibility: High.
- FY26 Adj. EBITDA [GUIDANCE]: New \$843–873 M | ~+70% vs FY25 | Credibility: High.
- FY26 Adj. diluted EPS [GUIDANCE]: New \$18.40–19.05 | ~+72% vs FY25 | Credibility: High.
- E-Infrastructure FY26 revenue [GUIDANCE]: over +80% incl. CEC; margins mid-20s% | Credibility: High.
- FY26 Capex [GUIDANCE]: \$100–110 M | up from ~\$77 M; supports larger project base | Credibility: High.

7 — Capital Allocation

- Capex: \$100–110 M FY26 guide | up from \$77 M FY25 | growth investment, not maintenance.
- M&A: CEC (\$505 M, closed Sep-25) integrating ahead of plan; pipeline focus on E-Infrastructure geographic + adjacent services.
- Buybacks: \$12.3 M in Q1-26 at ~\$305/share | opportunistic; modest vs cash generation.
- Dividends: none | capital reinvested into growth and M&A.
- Net debt: net cash ~\$170 M | balance sheet underpins further bolt-ons without dilution.

8 — Q&A Heat Map

- KeyBanc (Sangeeta): Q: Q1 upside drivers / what makes deals better? A: weather-aided early starts; "we buy people, not businesses." | Tone: Transparent.
- William Blair (Noah): Q: Texas maturity, CEC margin timeline? A: Texas "early innings," joint site+electrical 6–8 months ahead; 300–500 bps target in 12–18 months. | Tone: Transparent.
- Stifel (Brian): Q: why CEC \$600 M signed but \$1.9 Bn combined backlog? A: phased contract releases — large \$300–500 M electrical packages still in future-phase, many since moved to signed. | Tone: Transparent.

- Texas Capital (Alex): Q: bid vs negotiated pricing; semiconductor timing? A: everything bid, edge is execution; semis a 2029–2030 story. | Tone: Hedged on pricing.
- Sidoti (Julio): Q: risk discipline / capacity levers? A: "fair price, make money on execution"; apprenticeships, hiring, M&A, modular. | Tone: Transparent.
- Dodged / watch-list for next quarter: Texas revenue % mix; legacy E-Infrastructure quarterly growth bridge (declined to disaggregate — offered offline follow-up); durability of pricing.

9 — Risks Flagged

- Skilled-labour (electrician/PM) capacity: caps growth | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-medium.
- Building Solutions / housing affordability: revenue and margin drag | Flagged by: mgmt | Probability: H | Impact: L-M | Timeline: through 2026.
- Data-center demand concentration: 90%+ of E-Infra backlog mission-critical | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium.
- Pricing power limits: execution-led, not price-led | Flagged by: analysts | Probability: M | Impact: M | Timeline: ongoing.
- Project-execution on larger 4–5-yr fixed-scope campuses | Flagged by: mgmt (risk discipline) | Probability: M | Impact: M | Timeline: medium.

10 — Analyst Verdict

- Revenue visibility: **Intact** — \$5.15 Bn combined backlog, 3.5x book-to-burn, FY26 guidance raised.
- Margin trajectory: **Intact** — adj. EBITDA margin 20%+, mid-20s% E-Infra, credible self-help lever.
- Capital-allocation quality: **Intact** — disciplined bolt-on M&A, opportunistic buybacks, net cash.
- Competitive moat: **Intact** — scale + vertical integration; pricing power admittedly limited.
- Management credibility: **Intact** — clean quarter, candid on constraints, guidance track record solid.
- Valuation comfort: **Weakened** — 50x forward, 66x EV/FCF, price above Street target; no margin of safety.
- Conviction call: **Unchanged** on the business; **Decreased** on the stock — REDUCE/trim on valuation, re-accumulate \$480–620.
- Valuation snapshot: P/E 85.5x (FY25 32.7x) | EV/EBITDA 50.3x (FY25 19.3x) | ROCE 28.1% (FY25) — premium to an already-rich peer set.

MPM Institutional Equity Research · STRL · 3 June 2026. Financials: stockanalysis.com (3-Jun-2026). Qualitative: company releases & Q1-2026 earnings call. For information only; not investment advice. The author may hold no position. Past performance is not indicative of future results.